

the same hotel brand,” came the response. Kanwal quietly took the flight to Lucknow. Incidentally, no one travels business class. Kanwal has also launched an initiative called “Rakshak,” where anyone who speaks up against corruption and protects the bank receives ₹5,000 in reward. In a microfinance business, where there is a large amount of cash and gold transactions at branches, “it acts as a deterrent”, he says.

primarily targeting its microloan customers, and focussed on housing loans. This strategy paid off, with the bank becoming profitable and reducing net NPAs to less than 1% by March 2020. But the onset of Covid-19 posed new challenges. Urban branches saw an increase in gold sales as people sold gold to meet medical expenses, leading to a ₹300-crore outflow in the book. As the pandemic subsided, the bank refocussed on gold loans. “As the

dur says that it will be cushioned by the growth in CASA, better asset quality and assets like LAP.

When the bank was making losses, Kanwal introduced a unique approach to ESOPs. Instead of a standard letter, he asked his team to create the format of a share certificate. “We gave ESOPs to all the employees,” says Kanwal. Today, employees enjoy substantial returns, with the recent listing seeing a 50% jump from the IPO price.

According to Kanwal, the next step for Jana is to obtain a universal banking licence. While that is natural progression for many SFBs, some industry watchers like Ankur Saraswat, Research Analyst at Trustline Securities, a financial services and investment solutions provider, raise a difficult question.

“By allowing it to transition into a universal bank, is it to be understood that SFBs haven’t been as successful as one would have thought and hence upgrading it to a universal bank would allow it to tap the broader market and not restrict itself to unbanked areas for generating business income?” asks Saraswat. There are no easy answers.

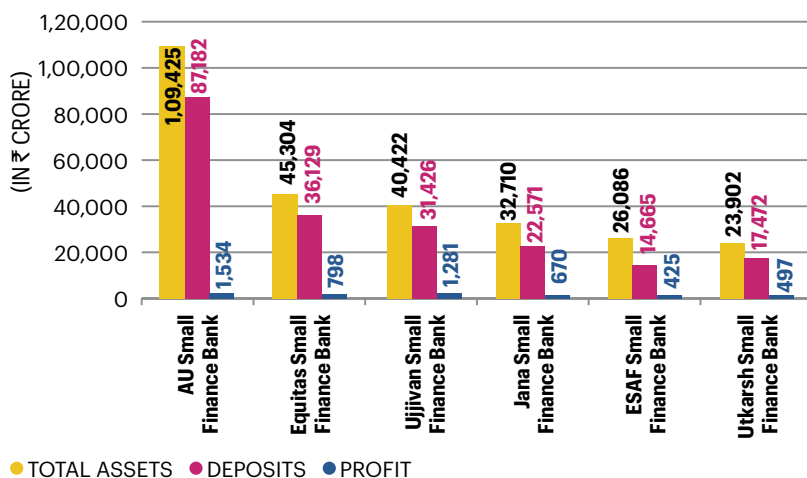
Kanwal, who takes out time to play golf on the weekends, takes a minute to reflect on his global stints. He accepts that life was more predictable and easier, but “at the end, what did you leave as a legacy?” Jana, though, has been “a truly satisfying experience”, he says. “If your passion is to create something, there is no greater satisfaction than that,” shares Kanwal, who is currently reading the book, *The Leader Who Had No Title* by motivation guru Robin Sharma. The title of the book resonates strongly with his own leadership philosophy. And it will be a testament to Kanwal’s leadership if Jana successfully transforms to a universal bank. **BT**

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HOW SFBs STACK UP

● AU Small Finance Bank is the largest in terms of total assets

● Jana SFB is the fourth-largest in terms of assets and deposits



● TOTAL ASSETS ● DEPOSITS ● PROFIT

NOTE DATA AS OF MARCH 2024 **SOURCE** COMPANIES

Under Kanwal’s leadership, the bank has gradually transitioned from a fully unsecured portfolio to a more balanced loan mix of 60% secured assets. This strategic shift aims to position the bank as the anchor for housing loan customers, enabling cross-selling of other loan products (see interview). Jana introduced gold loans as a cross-sell product,

collection numbers for microloans started increasing, the demand for other products like gold [loans] saw an upswing,” Kanwal says.

In the agri sector, the bank focusses on end-use products. For instance, for those involved in dairy farming, the bank provides loans to purchase cows. While the growing share of secured loans would reduce the net interest margins, CFO San-